

Tesla, Inc.
TSLA NASDAQ

Hold	\$348.75 ▼ 1.71%	12M Price Target \$385.00	52-Week Range \$297.38 – \$498.83	Market Cap \$1.38T
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TSLA: China Recall Stings, But Robotaxi Catalyst Looms

WHAT HAPPENED

- TSLA gave back most of yesterday's pop (-1.71%), and the tape tells me why: a 3 million vehicle recall in China over door handles and driver monitoring hit the wire. That's not a small deal — China is roughly a third of Tesla's deliveries, and recalls there also raise regulatory temperature at exactly the wrong time as Beijing tightens EV standards.
- The options tape is flashing yellow — massive unusual PUT buying at \$352.50, \$355, and \$357.50 strikes (some 22x normal open interest). Translation: big money is paying up for downside protection or outright bets that TSLA closes below those levels this week. That's a bearish near-term tell.

WHY IT MATTERS

Here's what I think is really going on: the stock is stuck in a tug-of-war. On one side, the "One Big Beautiful Bill" signed last year killed the \$7,500 federal EV tax credit as of Sept 30, 2025 — meaning Tesla lost a major demand lever, and Q3/Q4 2026 delivery comps are going to look ugly year-over-year. On the other side, the entire bull thesis has migrated to robotaxi and Optimus (humanoid robots) — so any headline about the Austin robotaxi expansion sends the stock ripping. The China recall matters because it feeds the bear narrative that Tesla's autonomy/software edge isn't as clean as advertised, right when they need regulators globally to greenlight FSD.

POLICY & POLITICAL WATCH

The big one: the Trump administration's rollback of Biden-era EV mandates and the elimination of the EV tax credit is a net negative for the core auto business — competitors get hurt more, but Tesla still loses a demand tailwind. Watch the NHTSA's evolving stance on autonomous vehicles — the administration has signaled a friendlier federal framework for self-driving cars (preempting the state-by-state patchwork), which would be a massive tailwind for robotaxi scaling. Also keep an eye on China tariff negotiations — if trade tensions escalate, Tesla's Shanghai operations become a political football.

IS IT EXPENSIVE?

TSLA trades at roughly 162x forward earnings — meaning investors are paying \$162 for every \$1 of profit the company is expected to make next year. For comparison, Toyota trades around 10x and even Nvidia trades around 35x. That premium ONLY makes sense if you believe robotaxi and Optimus become real revenue lines within 2-3 years — if this stays a car company, the stock is worth maybe half of here.

WHAT COULD GO WRONG

Langston's | Equity Research Coverage

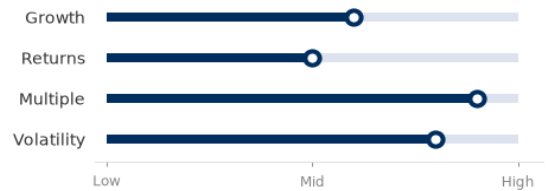
AI-Generated Pre-Market Brief | 2026-08-28 22:36 UTC

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Key Data

Price (USD)	\$348.75
12M Price Target	\$385.00
Upside / (Downside)	+10.4%
Market Cap	\$1.38T
FY2026E Revenue	\$108M
FY2027E Revenue	\$135M
FY2026E EPS	\$2.15
FY2027E EPS	\$3.40
Fwd P/E	162.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$380.00	\$355.00	\$320.00
6 Months	\$450.00	\$385.00	\$290.00
1 Year	\$520.00	\$400.00	\$270.00
2 Years	\$650.00	\$450.00	\$240.00
5 Years	\$900.00	\$550.00	\$200.00
10 Years	\$1500.00	\$700.00	\$180.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communications Services (+1.42%) and Consumer Discretionary (+1.15%) are leading — money is chasing AI/mega-cap growth again, which usually helps TSLA even when its fundamentals wobble.

COOLING OFF: Materials and Energy are laggards on the 5-day — reflects softening industrial demand and lower oil, which is actually mildly bullish for EVs long-term but bearish for near-term energy sentiment.

ROTATION WATCH: Money is rotating INTO large-cap tech/AI and OUT OF cyclicals — that's a "risk-on but selective" tape, which typically favors TSLA on quiet news days but punishes it on company-specific bad news (like today's recall).

RELATED PLAY: If you believe the robotaxi thesis, the picks-and-shovels play is NVDA (chips powering FSD) and lidar/sensor names — though Tesla infamously doesn't use lidar, so tread carefully there.

WHO'S WINNING IN THIS SPACE?

- GM (General Motors): Winning on the "boring but profitable" trade — internal combustion still prints cash and their EV losses are narrowing.
- RIVN (Rivian): Getting slammed today (-6%) on CFO departure to GE Vernova — reminder that pure-play EV names without a software story are struggling.

TSLA CONTEXT: TSLA is holding up better than Rivian and Lucid, which tells you the market still values the AI/autonomy optionality. But it's lagging the broader Consumer Discretionary sector today — meaning TSLA-specific news (the China recall) is the culprit, not macro. If it can't reclaim \$355 in the next few sessions, those unusual puts will look prescient.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — I'm neutral here; the risk/reward is balanced with real catalysts on both sides.

POSITION SIZE: 2-4% — the volatility is too high to size bigger unless you have deep conviction on robotaxi timing.

ENTRY POINTS: I'd wait for \$310-325 — that's the lower end of the 52-week range and where the risk/reward gets more attractive. Chasing at \$350 with bearish options flow is asking to get chopped up.

TIME HORIZON: 12-24 months — you're really waiting for robotaxi commercial proof points and Optimus updates in 2027.

WHEN TO BAIL: If auto gross margins drop below 15%, if robotaxi rollout gets pushed past 2027, or if a major FSD-related safety incident triggers federal investigation — any of those breaks the thesis.

HEDGING: Simplest hedge is buying protective put options — think of them as insurance that pays off if the stock crashes. Or pair a TSLA long with a short in a weaker EV name like Lucid to isolate the "Tesla is best-in-class" bet.